STT framework. The *off-market* transactions of securities (which entails changes in ownership records at depositories) also does not attract STT.

## CAPITAL GAINS TAX

This is a direct tax and applies on the sales of all 'assets' if a profit (gain) has been made by the owner of the asset – a tax on the 'gains' one gets by selling assets. The tax has been classified into two –

(i) *Short Term Capital Gain* (STCG): It applies 'if the Asset has been sold within 36 months of owning it'. In this case the 'rate' of this tax is similar to the normal income tax slab. But the period becomes' 12 months' in cases of shares, mutual funds, units of the UTI and 'zero coupon bond' – in this case the 'rate' of this tax is **15** per cent.

(ii) *Long Term Capital Gain* (LTCG): It applies 'if the asset has been sold after 36 months of owning it'. In this case the 'rate' of this tax is **20** per cent. In cases of shares, mutual funds, units of the UTI and 'zero coupon bond' there is 'exemption' (zero tax) from this tax (provided that such transaction is subject to 'Securities Transaction Tax').

## INVESTMENT ALLOWANCE

Announced in the *Union Budget 2013-14*, a tax break given to companies for high value investment in plant and machineries, over and above depreciation benefits enjoyed by them. A company investing Rs. 100 crore or more in plant and machinery during the April 2013 to March 2015 will be entitled to deduct an investment allowance of **15** per cent of the investment. This is expected to see enormous spill-over benefits to small and medium enterprises.

The proposed investment allowance scheme should be seen a drain on the government's tax collections – it may be seen as a kind of *tax exemption*.